	growing	stable	decline
ex Stock	1500	300	-800
M.F	900	600	-200
Bond	500	500	500
	0,5	0,3	0,2

Return

Stock = 1500x0,5 + 300x0,3 + -800x0,2 = 680 Ev without PI

MF = 900x0,5 + 600x0,3 + -200x0,2 = 590 Ev without PI

Bond = 500 Ev without PI

Ev without PI = 680 (Stock)

Ev with PI = 1500x0,5 + 600x0,3 + 500x0,2 = 1030

Ev PI = 1030 - 680 = 350

ex

	S_1	S_2	S_3
A	12000	9000	13000
B	15000	11000	8000
C	5000	18000	10000
	0,3	0,5	0,2

Cost

Ev without PI (A) = 12000x0,3 + 9000x0,5 + 13000x0,2 = 10700

Ev without PI (B) = 15000x0,3 + 11000x0,5 + 8000x0,2 = 11600

Ev without (C) = 5000x0,3 + 18000x0,5 + 10000x0,2 = 12500

Ev without IP = 10700 (A)

Ev under PI = 5000x0,3 + 0,5x9000 + 8000x0,2 = 7600

Ev PI = 7600 - 10700 = |3100|

* expected value of perfect information

• perfect information: quality of information that transfer from risk to certainty.

→ EV with PI (expected value, perfect info)

→ EV under PI

→ EVPI : difference between EV without PI and EV under PI

• EVPI : ~~max~~ maximum amount that the dicision maker is willing to pay.

	S_1: 80	S_2: 100	S_3: 120
Model A	10000	15000	14000
" B	8000	18000	12000
" C	6000	16000	21000
	0,4	0,2	0,4

model A: $10000 \times 0,4 + 15000 \times 0,2 + 14000 \times 0,4 = 12600$

model B: $8000 \times 0,4 + 18000 \times 0,2 + 12000 \times 0,4 = 11600$

model C $= 6000 \times 0,4 + 16000 \times 0,2 + 21000 \times 0,4 = 14000$

• EV without PI 14000 ((C))

• EV under PI $= 1000 \times 0,4 + 18000 \times 0,2 + 21000 \times 0,4 = 16000$

• EVPI $= 16000 - 14000 = 2000$

→ types of information
- → mandatory (essential) information : supplied to external users to meet the requirement of standards and regulations. (الاساسي) ←
- → discritionary (voluntary) information : supplied to internal users to help them in decision making. (تفاصيل اكثر) ←

* primary consideration when providing this info is : benefit must exceed costs : discritionary
* discreationary information has more details (✓)
* mandatory information helps the internal users with decision making (✗)

⟹ Characteristic of useful information:

1- relevancy : make difference in decision making process by helping users in ..
2- faithful representation : complete, free from bias, free from error
3- timelines.
4- verfiability
5- understandability.
6- accessability
7- comparability.

* users make better decision as quality and quantity of informations increase (✗) مش شرط

⇒ information overload when the information available for users are more than the amount of information that the human mind can absorb and process.

information overload results in:
- decreasing decision making process.
- increasing the cost of producing the information (time, effort).

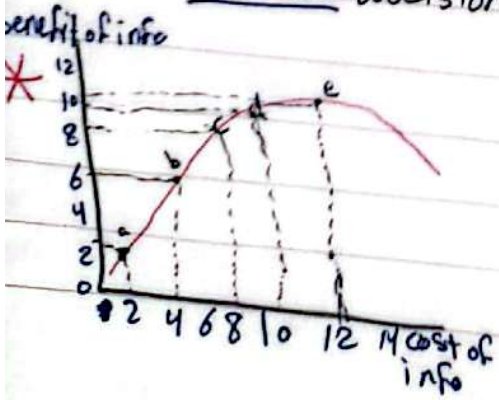
⇒ benefit of producing info:
- improving decision making quality
- reduce uncertainty
- help users to plan and schedule activities.

⇒ costs of producing info:
- time
- effort
- resources

⇒ information value : info benefit − info cost.

* overload occures when produced passes the information that human can absorb

* overload increase decision making quality and increase the cost. ✓ ✗



* when does the over load start : 10 (cost) d
* a ⟶ c : valiable info

AIS 1

* system is a set of independend components that interact together to achieve main goal (X)
* each subsystem is designed to achieve only one goal ... (X)
* the larger and more complicated the system, the harder to achieve goal congrouance

⟹ goal conflict: the action of subsystem is in consistent with the goal of the whole system.
⟹ goal congrouance: action of the subsystem is consistent with the goal of the whole system

the larger the system, more harder to achieve goal conflict (X)

thies result when the subsestem action is inconsistent with the the main goal: goal conflict

⟹ system: set of one or more component that interact together to achieve a goal, insid
any system there is a goal conflict and a goal congrouance.

⟹ information system (IS): used to collect, record, store, process data to produce
ormations.

- data: facts that are collected, recorded, stored, processed by the IS
- information: data that are collected, recorded, stored, prossed by IS to help the use with dicision making.

* data are used in decision making process. (X
* information is considerd as input for any information system. (X

⟹ types of data
- data about activities.
- data about resources
- data about people.

*accounting: process concerned with measuring, identifying, recording the economic events to communicate the results with the interested users.

* Ais main functions:
- collecting, recording and storing data about organizational activities, resources, people
- processing data to produce information.
- providing adequate controls

Ais subsystems
- General ledger and Financial reporting system (GL/FRS)
  main objective → produce financial statement for external users (mandatory)
- management reporting system (MRS):
  main objective → produce special purpose reports such as manag
  reports for internal users (discritionary)

* Ais components:
people.
procedures and instruction
data
software
Formation technology infrastructure.
ternal controls

te: Regardless the approach taken, the data processing procedures are the same